Yunzhu Lai

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Education

University of Maryland, College Park Expected May 2027
Ph.D. in Development Economics
Dissertation: "Firm Growth in Developing Countries"

University of Wisconsin–Madison 2020
M.S. in Economics

Xiamen University 2018
B.S. in Mathematical Finance, B.A. in Literature

Fields of interest

Development Economics, Experimental Economics, Personnel Economics, Applied Microeconomics

Research papers

Enhancing Decision-Making: The Impact of Information Provision on Worker Task Assignment
(Job Market Paper)
Abstract: Managers often face substantial challenges in assigning the right workers to the right tasks, in part because they have limited information about workers' relative skills and preferences. We conduct a randomized field experiment in three large garment manufacturing plants in China to study whether providing managers with information about workers improves task allocation and firm outcomes. We provide randomly selected team managers with reports on workers' relative efficiency across tasks, including overall efficiency, learning speed, efficiency variability by task complexity, and performance in multi-worker versus solo tasks; for a subset of teams, the reports additionally include workers' task preferences. We find that providing information increases team efficiency by approximately 10 percent and reduces worker turnover within four months by 34–47 percent. Exploring the underlying mechanisms, we find that the intervention substantially improves managers' knowledge of workers. However, using detailed task-level administrative data, we find that managers incorporate only workers' relative overall efficiency into their assignment decisions, with no corresponding evidence that they adjust assignments based on the other dimensions of worker performance or preferences. The results show that information provision can improve worker-task matching and organizational performance, while highlighting a gap between managers' ability to acquire information and their ability to apply multiple dimensions of that information in complex assignment decisions.

Environmental Justice: Poverty Alleviation and the Entry of Polluting Firms
Abstract: This paper studies the impact of a large-scale poverty alleviation program in China, which aims at promoting economic development in designated National Poor Counties, on the entry of polluting firms. Using rich data on firm registration and performance, I use both difference-in-differences and triple difference models to estimate the policy impact. The results show that poverty alleviation attracts both polluting firms and non-polluting firms. However, the policy attracts fewer polluting firms than non-polluting firms—compared with the entry of nonpolluting firms, the policy decreases the average number of new polluting firms by 16% annually. Moreover, the estimation of dynamic effects suggests that the negative policy impact on the entry of polluting firms increases over time and persists in the long run. Exploring mechanisms driving the impact, I show that first, the poverty alleviation policy increases the exit of polluting firms by 23%, indicating a more difficult industrial environment for polluting firms to survive. Second, it increases regional income that could lead to an increase in people's marginal willingness to pay for environmental quality improvement. Lastly, National Poor Counties tend to provide smaller government support to polluting firms relative to nonpolluting firms.

Who Benefits from SME Credit? Evidence from Bank Lending in Bangladesh
(with Miriam Bruhn, Mahjabeen Haji, and Sandeep Singh)
Abstract: Small and medium-sized enterprises (SMEs) face persistent barriers to formal credit, and while expanding loan access improves firm performance on average, less is known about which firms benefit most. This paper provides new evidence from Bangladesh, in collaboration with BRAC Bank, combining administrative records on the universe of SME loan applicants in 2021–2022 with original survey data on roughly 2,000 firms. The identification strategy compares accepted and rejected applicants who passed an initial screening, using coarsened exact matching. On average, receiving a loan increased sales by 18 percent, profits by 20 percent, and employment by 8 percent. But the employment gains are uneven: the average effect is driven entirely by firms with at least five employees, which saw a 14-percent increase in employment. Expanding credit to smaller firms can raise their owners' incomes, but only larger SMEs create jobs for others.

Research in progress

Task Assignment under AI Assistance *(with Jing Cai)*
From Prediction to Prevention: AI-Driven Worker Retention *(with Jing Cai)*

Policy briefs

Reverse Gender Gap in SME Finance? Evidence from Bangladesh
International Finance Corporation (IFC), May 2025
(with Miriam Bruhn, Mahjabeen Haji, and Sandeep Singh)

Relevant positions

Consultant, World Bank Group 2023–2026

Selected awards & research grants

Chiang Ching-Kuo Foundation Research Grant (co-PI, with Jing Cai) ($29,756)	2025
Dissertation Enhancement Fund, University of Maryland ($4,000)	2025
Jacob K. Goldhaber Travel Grant, University of Maryland ($800)	2023
Best Second-Year Paper Award, University of Maryland	2023
Dean's Fellowship, University of Maryland ($5,000)	2020-2021
Dean's List, Xiamen University	2018
First-Class Academic Excellence Scholarship, Xiamen University	2015

Professional activities

Referee: *Journal of Development Economics*

Teaching experience

TA for The Economy of China (AREC 447/ECON 418C)	Fall 2023, Summer 2024
TA for Global Poverty and Economic Development (AREC 345)	Spring 2023
TA for World Hunger, Population, and Food Supplies (AREC 365)	Spring 2022

Conference and seminar presentations

Western Economic Association International Annual Conference, July 2023
Northeastern Agricultural and Resource Economics Association Annual Meeting, June 2023
AREC Research Workshop, University of Maryland, September 2022

Dissertation committee and references

Jing Cai (Chair)
John R. and Marjorie C. Moore Professor
Agricultural and Resource Economics
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Questrom School of Business
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Kenneth Leonard
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Miriam Bruhn
Senior Economist
Development Research Group
The World Bank
mbruhn@worldbank.org

Miscellaneous

Languages: Chinese (native), English (fluent)
Skills: Stata, R, Python, LaTeX
Nationality: Chinese